REPORTABLE (114)

CURVERID TOBACCO PRIVATE LIMITED
v
ZIMBABWE REVENUE AUTHORITY

SUPREME COURT OF ZIMBABWE
MATHONSI JA, KUDYA JA & MUSAKWA JA
HARARE: 12 MAY 2025 & 12 DECEMBER 2025

M. Tshuma, for the appellant

S. Bhebhe, for the respondent

KUDYA JA:

[1] The appellant appeals against the dismissal by the High Court (the court *a quo*) of its application for a declaration of invalidity of the "replacement" assessments issued by the respondent on 21 December 2022. The draft order to the application however erroneously sought an order that:

> "The assessments issued by the respondent on 13 December 2022 *(sic)* be and are hereby declared invalid."

[2] The appellant (taxpayer) is a locally registered tobacco company. It contracts tobacco growers, and in addition purchases, processes and exports tobacco. The respondent (taxman) is a revenue collecting statutory body.

THE FACTS

[3] On 20 December 2020 and 22 January 2021, acting in terms of s 47 (1) of the Income Tax Act [*Chapter 23:06*] (the Act), the taxman issued "notices of assessments" (the void or invalid assessments) for the 2013, 2014, 2015, 2016 and 2017 tax years (tax years in question). These notices contained the additional or amended assessments for each respective tax year.

[4] The taxpayer, acting in terms of s 62 (1) (a) of the Act, duly objected to the respective additional assessments. The taxman disallowed the objection in terms of s 62 (4) of the Act. Dissatisfied by the disallowance, on 24 May 2021, the taxpayer appealed to the Special Court in terms of s 65 (1) (a) of the Act, under case No. ITC 6/21 (ITC 6/21). In line with the principle derived from s 69 (1) of the Act that, in tax matters you pay first and argue later, the taxpayer paid the tax amounts specified in the additional assessments on or about 25 June 2021.

[5] On 23 November 2021, before ITC 6/21 was set down, this Court handed down judgment in *Nestle Zimbabwe (Pvt) Ltd* v *Zimra* SC 148/21 (the first *Nestle* case). The judgment impacted the pending appeal in ITC 6/21. This was because the notices of assessment issued in December 2020 and January 2021 were analogous to those in the first *Nestle* case. Likewise, the notices embodied the assessments and bore the remarks, *inter alia*, that "Assessment issued subject to audit" and "A detailed assessment can be made available on request".

[6] The erstwhile legal practitioners of the parties debated between themselves on the competence of the assessments in ITC 6/21 and the possibility of their withdrawal or acknowledgement of their invalidity. By email dated 28 January 2022, the taxman conceded that the "assessments" were, in the light of the first *Nestle* judgment, void *ab initio.*

[7] The parties appeared before the Special Court and the taxpayer withdrew its appeal in ITC 6/21. The matter was only disposed of on 10 March 2023, after the determination on costs. The following order was issued:

> "Matter is hereby removed from the roll with no order as to costs on the basis of the judgment of this court in *Shearwater Adventures (Pvt) Ltd* v *Zimra* HH 183/23."

[8] On 13 December 2022, the taxpayer sought a refund, alternatively set off with other pending tax obligations, of the tax paid on the invalid additional assessments. On 21 December 2022, the respondent declined the suggestions and, like in the first *Nestle* case, issued fresh "Manual Notice(s) of Assessment for Income Tax" (the fresh additional assessments) in respect of each of the tax years in question.

[9] It was common cause that, in keeping with the general prevailing practice of the taxman, each notice of assessment is divided into three distinct parts bearing the same architectural design and designated content.

9.1. The first section is titled "Zimbabwe Revenue Authority. Manual Notice of Assessment for Income Tax. Year Ended 31 December (Year inserted). (This is an Amended Assessment)."

9.2. The second section contains the Assessment. It provides the full names of the public officer or representative taxpayer, the full names of the taxpayer and its physical address. It also depicts columns for the BP (Business Partner) number, contract account, identity of the issuer, date of issue, assessment number, currency and previous assessment number for amendments. Below these columns are further columns for the source code, taxable income or assessed loss and computation currency. The computation currency column contains various amounts in respect of total taxable income/assessed loss; gross tax (Aids levy Chargeable) Less enumerated Tax credits; Add Aids Levy, Penalty and Additional Tax.

9.3. A sub-total is shown from which is deducted Relief on Foreign Income and Withholding Tax Paid. Then, the following are highlighted under separate lines: the total tax chargeable, the Tax Payable/Refundable, Tax

Payable/Refundable in previous assessment and the Additional Tax Charged or Tax Discharged. The last items on the assessment are Assessed Loss carried forward and Excess Credit carried forward.

9.4. The last section of the notice of assessment appears just below the assessment and proclaims in bold letters that:

"Any objection to this notice of assessment should be lodged in writing to the Commissioner within 30 days of this notice."

[10] The assessment is thus sandwiched between the first and the last sections of the notice of assessment.

[11] On 20 January 2023, the taxpayer duly raised objection to the fresh assessments referred to in the taxman's letter dated 21 December 2022, headed 'replacement of notice of assessments issued on 22 January 2022 *(sic)*'. It basically raised four grounds of objection. These were that the taxman was *functus officio* to issue the fresh additional assessments, these assessments were defective for bearing "gross tax", a term alien to the Act, they were denominated in the wrong currency and lastly, that they added back to gross income amounts, which did not constitute gross income and would not be subject to tax.

[12] On 11 April 2023, the taxman disallowed all the objections. The taxpayer appealed to the Special Court in Case No. ITC 5/23. (ITC 5/23).

[13] On 20 September 2024, the taxpayer filed the present case in the court *a quo* on the grounds that the impugned fresh additional assessments were unlawful and *ultra vires* the statutory powers of the taxman. On 23 September 2024, ITC 5/23 was, at the taxpayer's instance, removed from the roll to pave way for the determination of the present case.

[14] On 1 October 2024, the taxman contested the application.

[15] It was common cause that the void notices of assessments were a culmination of random investigations or audits conducted by the taxman on the tax compliance of the taxpayer. The audits were carried out subsequent to submission by the taxpayer of self-assessment returns. The officials of the taxman and the taxpayer interfaced through both physical meetings and correspondence, where documents were examined, questions asked and answered and anomalies explained. The investigations disclosed several anomalies in respect of the taxpayer's tax affairs and self-assessment returns made in terms of s 37A (10) of the Act. These related to improperly claimed deductions, under declared sales figures and the consequent under declaration of taxable income resulting in the payment of less tax. The taxman's adjustments were first reflected in the first additional assessments embodied in the void notices of assessment.

[16] The self-assessment return is a prescribed form, which is generated by the taxman. Section 37A (1) (a) and (b) requires the taxpayer to not only provide information necessary for the computation of the tax payable but to calculate and pay such tax in accordance with the provisions of s 7 (2) of the Act. Section 37A (10) of the Act, deems a self-assessment return and accompanying documents to be an assessment made by the taxpayer of its or "his or her taxable income and the tax payable on that taxable income for that year, being those respective amounts shown in the return." In terms of s 37A (11), "the taxpayer's return of income" in the self-assessment return "is treated as an assessment served on the taxpayer by the Commissioner-General." This is regarded as the original assessment in this judgment.

[17] Clearly therefore, while, in terms of s 37A (10) of the Act, the taxable income and tax payable thereon which are contained in the self-assessment return and its accompanying

documents are regarded as an assessment made by the taxpayer, in terms of s 37A (11), only the portion in the return that deals with the taxpayer's return of income and not the other contents of the self-assessment return and accompanying documents is regarded as the taxman's assessment.

[18] It was further common cause that the taxman is entitled by s 47 (1) to make an additional assessment to the original assessment. In terms of the proviso (ii) to s 47 (1), the taxman's power to make an additional assessment prescribes after 6 years from the date of the relevant year of the original assessment. This prescription period is interrupted indefinitely if "the Commissioner is satisfied that the adjustment or call is necessary as a result of fraud, misrepresentation or wilful non-disclosure of facts". These three conditions precedent therefore accord to the taxman the right to make an additional assessment beyond the six-year prescriptive period.

THE CONTENTIONS IN THE COURT *A QUO*

[19] In the court *a quo*, Mr *Tshuma,* for the taxpayer, in both his written heads of argument and oral submissions made the following contentions:- Firstly, the taxman did not have the statutory power to issue replacement assessments in place of the defective and invalid assessments. The issuance of "replacement assessments" was *ultra vires* his authority and invalid. The notices and the assessments, in accordance with the majority decision in *Irvin & Johnson* v *Commissioner for Inland Revenue* 1946 AD 483 at 487 and the unanimous decision in *African Cash & Carry (Pty) Ltd* v *The Commissioner for the South African Revenue Service* 2020) (2) SA 19 (SCA) 82 SATC 73 at para 33, are documents. They have a symbiotic relation demonstrated by the fact that notices are anchored on and are a part of an assessment. In any event, the first *Nestle* judgment rejected the taxman's attempt to distinguish them. The rejection was approved and perpetuated in the second *Nestle* judgment SC 70/24.

Secondly, the invalid assessments, not having been set aside by a court of law, as enunciated in *Oudekraal Estates (Pty) Ltd* v *The City of Cape Town and Ors* 2004 (6) SA 222 (SCA) para 26 remained extant, final and conclusive. In the circumstances, the taxman was *functus officio* to issue the impugned assessments. The defective additional assessments were final and conclusive assessments, which the taxman could not, of his own accord amend, correct, vary or set aside for the reason that once he disallowed the taxpayer's objection, he became *functus officio*.

Thirdly, the balance of convenience tilted in favour of the taxpayer by reason of the apparent administrative unfairness caused to its business and financial affairs by the unlawful conduct of the taxman. Lastly, the taxman acted in an administratively unfair manner in failing to indicate the provision in the Act under which he issued the impugned assessments. The taxman thus infringed s 2 (a) of the Administrative Justice Act [*Chapter 10:28*].

[20] *Per contra*, Mr *Kwenda* for the taxman, submitted *a quo* that the taxman derived his power to make additional assessments and issue notices of these assessments from s 47 (1) as read with s 37A (12) and (13) of the Act. He argued that the power to issue fresh assessments in the face of void assessments is expressly recognized by the Supreme Court in the case of *Zimbabwe Platinum Mines* v *Zimra* SC 159/21 (the *Zimplats* case). Further, that this power was affirmed implicitly in the cases of *Irvin & Johnson, supra*, at p 486, *Commissioner of Taxes* v *Astra Holdings (Pvt) Ltd* 2003 (1) ZLR 417 (S) at 428D and *Delta Beverages Pvt) Ltd* v *Zimra* SC 3/22 at p 24. He also argued that the latter two cases enunciated the principle that the taxman has a statutory duty to collect tax and has no duty to untax a taxpayer by concession, error, laxity or mistake.

[21] Counsel further contended that, being void *ab initio*, the notices of assessments neither existed at law nor did all subsequent processes based on them have any force or effect. He therefore submitted that, they are deemed, by operation of law, to have never been issued such that the position that prevailed before they were issued is preserved. Further on the authority of *McFoy* v *United Africa Co Ltd* (1961) 3 All ER 1169 at 1172 that there was no need for them to be set aside by a court of law as they never existed. He also submitted, again on the authority of *Zimplats* case, *supra,* at para. 43, that the taxman could not have fully exercised and discharged his official functions over the void notices. Nor, so he argued, could the nullified function be regarded by the provisions of s 62 (5) and (6) of the Act, as final and conclusive. Regarding the balance of convenience, he argued that this did not arise in tax matters. He relied on the apposite remarks of GUBBAY CJ in *Commissioner of Taxes* v *CW (Pvt) Ltd* 1989 (3) ZLR 361 (S) at 372D-E that:

> "Generally speaking, where taxation is concerned, it has to be acknowledged that justice and equity have little significance. If the language of the statute is plain the court must give effect to it, even if the result to the taxpayer is harsh and unfair." (Underlining for emphasis)

Counsel, however, strongly argued that, even then, the balance of convenience tilted in favour of the taxman who was statutorily obliged to ensure that the taxpayer paid the correct amount of tax and not escape from doing so due to the taxman's concessions, errors, or mistakes.

[22] Mr *Kwenda*, further contended that the taxpayer's cause of action in paras 7 and 11 of its founding affidavit was premised on the defective notices. However, its relief improperly sought the vacation of the assessments. Counsel argued that, notwithstanding the conflation, at times, by courts, the taxman and the taxpayers of the two concepts, notices of assessments on the one hand and assessments on the other, were as a hard matter of fact, different. He relied on the authority of several cases form Australia, South Africa

and Zimbabwe to argue firstly, that an assessment and a notice were different, secondly, that while a notice was a document, an assessment was but a process and not a document. He referred to the Australian cases of *R* v *Federal Commissioner of Taxes, ex parte Hooper* [1926] HCA 37 CLR 338, *The Commissioner of Taxation of The Commonwealth of Australia* v *Prestige Motors (Pty) Ltd* (1994) 181 CLR 1 and *Federal Commissioner of Taxation* v *Prestige Motors (Pty) Ltd* 94 ATC 4570 at 4573. He also cited the South African cases of *Bailey* v *Commissioner of Inland Revenue* 1933 AD 204 at p 226 (unanimous decision) and *Irvin & Johnson* v *Commissioner for Inland Revenue* 1946 AD 483 at p 489 (minority decision). He further cited the local Special Court cases of *MA Ltd* v *Zimr*a HH-633-16; *MC Ltd* v *Zimra* HH-634-16; *VFSL (Pvt) Ltd & Ors* v *Zimra* 2019 (1) ZLR 68 (H).

[23] Mr *Kwenda* further contended that notwithstanding the pronouncements in the two *Nestle* judgments, the distinction between the two concepts was at the heart of the present case. He submitted that, unlike in the second *Nestle* judgment, issue estoppel did not arise in the present case. This was because no court of law had declared the impugned fresh additional assessments invalid.

[24] He also argued that the taxman was not required by the Act to furnish a taxpayer with the provision under which he issued fresh additional assessments. Rather, s 37A (13) required him to furnish the taxpayer with a statement of reasons for raising them and thus for invoking s 47.

JUDGMENT *A QUO*

[25] The court *a quo* dismissed the application for a declarator with costs and upheld the validity of the impugned fresh additional assessments. It made the following order:

> "1. The application for a *declaratu*r is dismissed.

2. The respondent's reissued assessments dated December 2022 are declared valid and enforceable.
3. The applicant shall bear the costs of this application."

[26] The court *a quo* asked itself two questions. The first was whether there was a distinction between an assessment and a notice of assessment. The second was whether or not the taxman could issue fresh additional assessments after conceding that the earlier ones were defective, null and void. The court *a quo* held that there was a distinction between an assessment and a notice of assessment. Relying on the *Bailey* case*, supra*, the minority decision of SCHREINER JA in the *Irvin & Johnson* case, *supra*, and s 51 of the Act, it found that an assessment is a mental process by which taxable income or assessed losses are determined and not a piece of paper or document on which it is recorded while a notice of assessment is a document in which the assessment is communicated. It further found that s 47 empowered the taxman to issue fresh additional assessments. It reasoned thus at p 3 of its judgment:

> "In the present case, the respondent conceded the invalidity of the notices of assessment but did not concede the invalidity of the underlying assessments. This distinction is pivotal, as the respondent's power under Section 47 allows it to issue fresh notices to correct defects in the prior communication of its assessments. Section 47 explicitly empowers the respondent to issue additional or revised assessments to ensure accurate tax collection. This statutory duty overrides procedural defects in the original notices. In *ZIMRA* v *Zimbabwe Platinum Mines* (SC 159/21), the Supreme Court affirmed this authority, stating:
>
> > 'An invalid assessment is of no legal effect. However, this does not preclude the Commissioner from exercising powers under Section 47 to issue fresh assessments to ensure compliance with the ITA.'"

The court *a quo* further found that the issuance of the impugned fresh additional assessments did not infringe the principles of finality and *functus officio*. This was because the void processes and everything founded on them, in the formulation propounded in the *McFoy* case, *supra*, were incurably bad. Lastly, it held that the *Nestle* cases were distinguishable in two respects and for that reason discounted the applicability

of issue estoppel to the present case. The first respect was the absence of a judicial determination invalidating the impugned assessments. The second was that the taxman's concession pertained only to notices of assessments and not the underlying assessments.

[27] Aggrieved by the decision of the court *a quo*, the taxpayer appealed to this Court on the following nine grounds:

THE GROUNDS OF APPEAL

1. The court *a quo* erred at law in failing or refusing to decide whether the respondent could issue replacement assessments without advising the applicant *(sic)* as to which provisions it was relying on to act, thus invalidating the proceedings *a quo*.
2. The court *a quo* misdirected itself in failing to find that the respondent was estopped from denying its previous concession that it had issued defective assessments, especially in circumstances where this admission was made in writing as well as in open court.
3. The court *a quo* erred in finding that assessments are not final.
4. Having accepted that the respondent had previously conceded that it had issued defective assessments, the Court was not entitled to make a finding that contrary to the admission made by the respondent, that what the respondent admitted to was issuing defective notices of assessments and not defective assessments, and in so finding the court *a quo* grossly misdirected itself on the facts.
5. The court *a quo* erred in law and in contradicting itself by finding that an assessment is a process and not a document, and then simultaneously finding that the respondent was entitled to issue corrected assessments.
6. The court *a quo* erred in law in finding that the appellant wrongly challenged the assessments as opposed to the notices of assessments.

7. The court *a quo* erred at law in finding that s 47 of the Income Tax Act empowers the respondent to issue fresh notices of assessments to correct defects in circumstances where s 47 of the Income Tax Act makes no reference to "defects" or "notices of assessments".
8. The court *a quo* erred at law in finding that an assessment is a process and not a document in contradistinction to the express provisions of the Income Tax Act [*Chapter 23:06*] as well as established and binding precedent on the issue.
9. The court *a quo* misdirected itself in failing to abide by the *stare decisis* principle in that superior courts have decided that when a litigant believes that an assessment is defective it must challenge the validity of the assessment in the High Court."

THE RELIEF SOUGHT

[28] The appellant sought the following relief.

> "1. That the instant appeal succeeds with costs.
>
> 2. The judgment of the court *a quo* in case No. HC 4123/24 be set aside in its entirety and substituted with the following:
>
> '1. The application succeeds with costs.
> 2. The additional assessments issued on the applicant by the respondent on 13 *(sic)* December 2022 be and are hereby declared invalid.'"

THE SUBMISSIONS BEFORE THIS COURT

The appellant's submissions

[29] Mr *Tshuma* also appeared for the taxpayer in this Court. He submitted, on the strength of the *Nestle* cases that, the notices of assessment and the assessments reflected thereon were one and the same document. He therefore contended that the finding *a quo* that the notice was a document while the assessment was not was incorrect. He argued that the court *a*

quo erroneously relied on the minority decision in the *Irvin & Johnson* case (and the local case of *JK Motors (Pvt) Ltd* t/a *Flo Petroleum* v *Zimra* HH 336/23, which was overturned on appeal on a different basis and referred to the Special Court for adjudication) and ignored the majority decision which clearly held that an assessment was a document. By reference to the *African Cash & Carry* case he strongly argued that the prevailing judicial wisdom in South Africa was that an assessment was a document. In fact, so counsel argued, on the basis of a self-assessment, which is deemed to be the taxman's assessment, this Court held in the second *Nestle* judgment that an assessment was a document. He argued that the fact that r 11 of the Rules of the Special Court, in Schedule 12 of the Act, requires the taxman to submit a certified copy or an extract of an assessment demonstrates its documentary nature. He also submitted that s 79 of the Act clearly shows that an assessment is a recordal and therefore a document. Counsel therefore submitted that as there was no distinction between the two symbiotic documents, the taxpayer's attack on the notices permeated to the assessments.

[30] Mr *Tshuma* further argued that the nullity concession elicited from the taxman by the taxpayer did not discharge the affected fresh additional assessments. He relied on the South African cases of *Oudekraal Estates (Pty) Ltd* v *The City of Cape Town & Ors* 2004 (6) SA 22 (S) at para 26 and *Road Traffic Management Corporation* v *Tasima* CCT 27/19, and the local case of S*eldo Mining (Pvt) Ltd* v *G&W Industrial Minerals* HH 53/23 at p 6 for the argument that the void *ab initio* assessments remained extant until set aside by a competent court of law at the instance of either party. These three cases held that an invalid administrative decision may not simply be ignored until set aside by proper process, as it may continue to have valid legal consequences. In the *Oudekraal* case, *supra*, the Supreme Court of Appeal stated that:

> "Until the Administrator's approval (and thus also the consequences of the approval) is set aside by a court in proceedings for judicial review it exists in fact and it has legal consequences that cannot simply be overlooked. The proper functioning of a modern State would be considerably compromised if all administrative acts could be given effect to or ignored depending upon the view the subject takes of the validity of the act in question. No doubt it is for this reason that our law has always recognised that even an unlawful administrative act is capable of producing legally valid consequences for so long as the unlawful act is not set aside."

Counsel for the appellant further contended that, in terms of s 62 (6) of the Act, any assessment made by the taxman thus remained effectual, final and conclusive. The effect of the finality, so counsel argued, was that the taxman was *functus officio* and thus precluded or estopped from making further additional assessments in respect of the tax years in question in the face of the void ones. After all, so counsel contended, the tax exacted by the void assessments had been paid and not refunded.

[31] In interactions with the Court, Mr *Tshuma* contended that, as the two *Nestl*e decisions did not distinguish between the notices of assessment and the assessments, reference to notices in paras 7 and 11 of the founding affidavit in the present case was actually a reference to the assessments embodied in those notices. He however conceded that the two were different, chiefly in that a notice is issued in terms of s 51 of the Act and must alert the taxpayer of its or his or her procedural right to object to the assessment within 30 days. Counsel also conceded that the taxman is empowered by s 47 (1) to amend the original assessment. He strongly argued that, while the taxman issued a notice, the objection is to the assessment embedded in the notice. Mr T*shuma* submitted that the invalidation of the one results in the invalidation of the other, for the two are interdependent.

[32] Counsel further lamented the failure of the court *a quo* to relate to the arguments advanced by the taxpayer that the assessment was a document, to determine the question of issue

estoppel and the need for a competent court to set aside the void assessments. He however prayed that rather than remit the case *a quo* as determined by this Court in *Quest Manufacturing (Pvt) Ltd* v *Zimra & Ors* SC 51/24 at p 11, there was sufficient material for it to make a decision. The *Quest Manufacturing* case is authority for the proposition that the failure by a court to relate to cited authorities that are directly applicable to a case before it would result in the setting aside of the determination and a remittal for trial *de novo*.

The respondent's submissions

[33] Mr *Bhebhe* for the taxman supported the findings of the court *a quo.* He made the following contentions. The effect of the taxman's *Nestle* based concession was that, by operation of law, the defective notices were a nullity. These notices and every process and proceeding based on them had no force or effect. This is concordant with the pronouncements in the cases of *Zimplats* case, *supra, Schierhout* v *Minister of Justice* 1926 AD 99 at 109 and *McFoy* v *United Africa Co Ltd, supra,* at 1172I. There was therefore a reversion to the self-assessments. The taxman could, by reason of the reversion and as he had done with the defective notices, invoke the provisions of s 47 (1) to correct the self-assessments. The nullification by law of the notices did not affect the underlying facts which triggered the defective notices. The underlying facts were that the self-assessments under declared sales and income and over deducted credits thereby reducing the taxable amount and the concomitant tax chargeable. The tax paid was thus less than it should have been. The taxman was required by s 47 (1) to adjust the figures in the self-assessment by making additional assessments and then call upon the tax payer to pay the correct amount of tax. Hence the issuance of the impugned fresh notices of assessment which were compliant with the requirements that were set out in the Act, as construed in the first *Nestle* judgment. The taxman's power to issue the impugned notices

consequent to the nullification of the previous ones by operation of law was affirmed in the *Zimplats* case, *supra*. The nullification does not bar the taxman from exercising his statutory obligation.

[34] Counsel for the taxman also argued that the further effect of the nullification of the first additional notices was that they could not be treated as extant, final and conclusive. The law does not recognize their existence. Therefore, the taxpayer's contention that, they as a matter of fact, existed and could only be set aside by a competent court was incorrect. The principles of finality and *functus officio* did not apply to notices that were void *ab initio* but apply to valid notices. He also relied on the construction of s 62 (6) in the *Zimplats* case, at para 43 which was to the same effect. To argue that the first notices were invalid but remain extant constitutes a classic case of approbating and reprobating. Mr *Bhebhe* therefore submitted that the findings of the court *a quo* to the same effect were unassailable.

[35] Mr *Bhebhe* further argued that the finding *a quo* that an assessment and a notice were different was correct. He referred to the decision of this Court in *Delta Corporation Ltd* v *Zimra* SC 62 /24 at p 15. He contended that an assessment, as defined in s 2 of the Act, was not a document while a notice of assessment was. He also argued that the court *a quo,* having correctly distinguished the *Nestle* judgments from the present case, could not have been bound by them. He argued that the second *Nestle* judgment did not concern itself with the distinction between an assessment and a notice of assessment. It correctly found that both the assessments and notices of assessments were nullified in the first *Nestle* judgment. The *ratio decidendi* in that judgment was pivoted on issue estoppel. There was no equivalent decision of this Court in the present case which had determined that the impugned documents were a nullity. In any event, so counsel contended, if the

nullity concession were found to relate to assessments, the power of the taxman to issue compliant fresh additional assessments under s 47 (1) was not extinguished. He therefore submitted that by whatever name the impugned documents were called, his arguments in relation to the notices applied *mutatis mutandis* to the assessments.

[36] Counsel relied for his argument that issue estoppel did not arise in tax matters on the *dicta* of the Special Court in *VFSL & Ors* v *Zimra* 2019 (1) ZLR 68 (H) at 78A, and of this Court in *Commissioner of Taxes* v *Astra Holdings, Zimplats, and Delta Corp Ltd, supra.* He also argued that s 79 simply means that a notice of assessment is proof that an assessment has been made and does not mean an assessment is a document.

[37] In interactions with the court Mr *Bhebhe* argued that the taxpayer's pleaded case was never about the taxman's failure to indicate the provision under which he issued the fresh notices of assessment. This is because every taxpayer knows that the taxman is entitled to raise additional assessments. Rather, it was always that the defective and void notices of assessments were final, the taxman was *functus officio* and that he was therefore disentitled from issuing the fresh notices. Counsel conceded that it was a misnomer to refer to the fresh notices of assessments as replacement notices. This was because void notices could not be replaced. However, in his view, this misnomer did not affect the force of his submissions that the taxman was entitled by s 47 (1) to issue fresh notices of assessment.

THE ISSUES

[38] The following issues arise for determination in this appeal.

1. Whether the court *a quo* failed to determine the legal basis upon which the respondent issued "replacement" assessments.
2. Whether or not estoppel applied to the concession attributed to the respondent.

3. Whether or not the court *a quo* misdirected itself in finding that the appellant impugned the notices of assessment rather than the assessments.

4. Whether or not the court *a quo* failed to abide by the *stare decisis* principle.

THE LAW

The statutory provisions

[39] The statutory provisions relevant to the determination of the appeal are ss 2, 6, 7, 8, 14, 15, 16, 37, 37A, 45, 46, 47, 51, 52, 62, 72 and 79 of the Act. The Act often undergoes legislative changes. It is always important to make reference to the Act as it was at the time the impugned assessments and notices of assessments were made and raised.

[40] Section 2 is the definition section. Unlike the one in all the South African Tax Statutes from the Union Act No. 40/1925 to the Tax Administration Act No. 28/2011, the definition sections in the Zimbabwean Taxes statutes have not and are not prefaced in subsection (1) by the words that are underlined for emphasis:

> "In this Act, unless the context indicates otherwise, a term which is assigned a meaning in another tax Act has the meaning so assigned, and the following terms have the following meaning:"

Prefaced by the above words, the 1962 SA Income Tax Act defined assessment thus:

> ""assessment" means the determination by the Commissioner, by way of a notice of assessment (including a notice of assessment in electronic form) served in a manner contemplated in s 106 (2)"

At the relevant time, s 2 of the Zimbabwean Act defined an assessment thus:

> "Assessment" means-:
>
> (a) The determination of taxable income and of the credits to which a person is entitled in terms of the charging Act; or
>
> (b) The determination of an assessed loss ranking for deduction; and includes a self-assessment in terms of section *thirty-seven A*;"

An assessed loss has always been defined as a negative balance arising from an excess of allowable deductions to the computed income. A self-assessment return is defined as a return rendered in terms of s 37A.

[41] Section 6 is the charging section which imposes income tax in Zimbabwe "in respect of taxable income as defined in this Part, received by or accruing to or in favour of any person during the year of assessment." Section 7 provides as follows:

> "**7 Calculation of income tax.**
>
> (1) The income tax with which a person is chargeable shall, subject to section fifty, be calculated in accordance with the charging Act by reference to—
>
> (a) The taxable income of the person in the year of assessment; and
>
> (b) The appropriate rates of income tax fixed by the charging Act relating to that year; and
>
> (c) The credits to which the person is entitled in terms of the charging Act relating to that year.
>
> (2) The tax payable in respect of a self-assessment return shall be calculated in accordance with subsection (1) in respect of each year of assessment during which a tax payer carried on a trade and is required to submit a self-assessment return in terms of section thirty-seven A."

The provision deals with the computation of income tax based on the person's taxable income; the appropriate rates of income tax fixed in the charging Act for the year of assessment and the credits the person is entitled under the charging Act in that year. Section 7 (2) prescribes that the tax payable through a s 37A self-assessment return shall be calculated on the basis of the preceding three factors enumerated above.

[42] Section 8 defines gross income in a detailed, dense, intense and tortuous manner. Section 14 sets out exempted amounts while ss 15 and 16 deal with allowable and disallowable deductions.

[43] Section 37 authorises the Commissioner to call for returns for assessment from categorized taxpayers. In terms of subs (2), these returns are prescribed forms generated by the Commissioner. Section 37A deals with a self-assessment return. The history, introduction and import of self-assessment returns is set out in *BATH Ltd* v *Zimra* 2020

(2) ZLR 477 (H) at 480F-481A. It was introduced in 2006. The return is a prescribed form published by the Commissioner and collected by the targeted taxpayer. Subs (10) deems the computed amount to be the tax payable on taxable income disclosed in the self-assessment return, which must be accompanied by the relevant supporting documents of the computations. By virtue of subs (11), the self-assessment return furnished in terms of subs (1) is ascribed to the Commissioner-General. It will henceforth in this judgment be referred to as the original assessment.

[44] Sections 45 deals with estimated assessments where a taxpayer defaults in making a return, furnishes inaccurate information in the return, or is unable to provide accurate information. Where the estimate is by agreement, subs (3) allows the Commissioner to reopen the assessment on satisfaction that his agreement with the taxpayer was procured by inaccurate information.

[45] Section 46 prescribes the penalty of an additional tax that is imposed on a taxpayer who defaults in rendering a return, or omits an amount which should have been included, makes an incorrect statement, makes non-disclosure or claims more credits, which all effectively lower the amount of tax chargeable.

[46] Section 47 prescribes the power of the Commissioner to make additional assessments over and above any previous original assessments, if the conditions specified therein are met. It provides as follows:

> "**47 Additional assessments.**
>
> (1) If the Commissioner, having made an assessment on any taxpayer, later considers that-
>
> (a) An amount of taxable income which should have been charged to tax has not been charged to tax; or
>
> (b) In the determination of an assessed loss-
>
> (i) an amount of income which should have been taken into account has not been taken into account; or

(ii) an amount has been allowed as a deduction from income which should not have been allowed; or

(c) Any sum granted by way of a credit should not have been granted;

he shall adjust such assessment so as to charge to tax such amount of taxable income or to reduce such assessed loss or to withdraw or vary such credit, and if any tax is due either additionally, or alternatively, call upon the taxpayer to pay the correct amount of tax:

Provided that—

(i) no such adjustments or call upon the taxpayer shall be made if the assessment was made in accordance with the practice generally prevailing at the time the assessment was made;

(ii) subject to proviso (i), no such adjustment or call upon the taxpayer shall be made after six years from the end of the relevant year of assessment, unless the Commissioner is satisfied that the adjustment or call is necessary as a result of fraud, misrepresentation or wilful non-disclosure of facts, in which case the adjustment or call may be made at any time thereafter;

(iii) the powers conferred by this subsection shall not be construed so as to permit the Commissioner to vary any decision made by him in terms of subsection (4) of section sixty-two. (2) Sections forty-five and forty-six shall apply to any assessments or additional assessments or to a call for the payment of any additional sum in respect of a credit made by the Commissioner under the powers conferred by subsection (1)."

[47] Section 48 deals with reduced assessments and refunds. Where a taxpayer has paid more tax than is properly chargeable, the Commissioner is entitled to issue an amended assessment reducing the tax payable and authorize a refund of the overpaid tax. Such an amended assessment is final and is not subject to objection and appeal. The taxpayer must claim the excess within a period of 6 years. It is noteworthy that subs (2) of s 48 states that:

"(2) In the case of a claim made in respect of any additional tax charged in terms of section *forty-seven*, such claim shall be restricted to such additional tax."

Subsection (3) of this section sets out the conditions under which the Commissioner may pay interest for any overpaid tax.

[48] Section 51 covers the issuance of a notice of assessment and its requirements. It reads:

> "**51 Assessments and recording thereof.**
>
> (1) All assessments required to be made under this Act shall, subject to section four, be made by the Commissioner or under his direction.
>
> (2) Notice of assessment and of the amount of tax payable, where tax is payable, shall be given to the taxpayer assessed.
>
> (3) The Commissioner shall, in the notice of assessment, give notice to the taxpayer that any objection to the assessment must be sent to him within thirty days after the date of such notice.
>
> (4) Complete copies of all notices of assessment shall be filed in the office of the Commissioner or such office as he may designate:
> Provided that any copy of a notice of assessment so filed may be destroyed by the Commissioner after the expiration of a period of six years from the date of issue of such notice of assessment.
>
> (5) Separate assessments shall be made upon partners notwithstanding subsection (15) of section thirty-seven."

[49] Section 52, though headed "Copies of assessments" actually deals with the custody, privacy and confidential nature of notices of assessments. It reads:

> "**52 Copies of assessments.**
>
> Notices of assessments shall not be open to public inspection, but every taxpayer shall be entitled to copies certified by or on behalf of the Commissioner of his own notices of assessment."

[50] Section 62 (5) and (6) relate to the finality of assessments in the following manner:

> "**62 Time and manner of lodging objections.**
>
> (5) If -
>
> (a) no objection to an assessment or the determination of a reduction of tax has been made; or
>
> (b) an objection to an assessment or the determination of a reduction of tax has been disallowed or withdrawn;
>
> the assessment or reduction shall, subject to any adjustment made in terms of section *forty-seven* or the decision of a court on an appeal determined in pursuance of this Part, be final and conclusive."
>
> (6) If an objection to an assessment or the determination of a reduction of tax has been allowed, the assessment or reduction as reduced, increased or

> altered shall, subject to any adjustment made in terms of section *forty-seven* or the decision of a court on appeal determined in pursuance of this Part, be final and conclusive."

[51] Section 72 provides for the payment of provisional tax. It defines a notice of assessment issued in respect of such a tax thus:

> "**72 Payment of provisional tax.**
>
> (1) In this section-
>
> Notice of assessment" means a notice referred to in subsection (2) of section *fifty-one*, stating the amount of tax to be paid by a person;"

[52] Lastly, s 79 stipulates that:

> "**79 Evidence as to assessments.**
>
> The production of any document under the hand of the Commissioner or of any officer duly authorized by him purporting to be a copy of an extract from any notice of assessment shall be conclusive evidence of the making of such assessment and, except in the case of proceedings on appeal against the assessment, shall be conclusive evidence that the amount and all the particulars of such assessment appearing in such document are correct." (for emphasis)

Section 79 prescribes that an extract of a copy notice of assessment under the hand or direction of Commissioner constitutes conclusive proof that, firstly, an assessment has been done and secondly, the amount and all the particulars of such assessment appearing in the notice of assessment (such document) are correct. The section clearly and expressly refers to a notice of assessment as a document.

CASE LAW

[53] There is a sizable amount of both foreign and local judgments which provide the necessary guidance on the resolution of the legal issues raised in the present appeal. These were referred to by the parties in both this Court and the court *a quo*. They appear in paras 19-22, 29-30 and 33-36 of this judgment. These cases are considered in the analysis and resolution of the issues below. It must, however, be borne in mind that the

persuasive nature of a foreign judgment, especially in tax matters, is invariably premised on the similarities between the provisions of the foreign tax legislation to which such a judgment relates and our local tax legislation.

ANALYSIS

Whether the court *a quo* failed to determine the legal basis upon which the respondent issued "replacement" assessments.

[54] Mr *Tshuma* contended that the court *a quo* failed to determine the legal basis upon which the respondent issued replacement assessments. Mr *Bhebhe* for the respondent submitted that it actually pinpointed s 47 of the Act as the legal provision which allowed the taxman to issue the notices of assessment subsequent to the defective and void ones. Mr *Bhebhe* is correct. This is apparent from the court's *a quo*'s broad summary of the provisions of s 47 on p 2 of the judgment. On p 3 it held that:

> "…the respondent's power under s 47 allows it to issue fresh notices to correct defects in the prior communication of its assessments. S 47 explicitly empowers the respondent to issue additional or revised assessments to ensure accurate tax collection. This statutory duty overrides procedural defects in the original notices."

And in the conclusion at p 4 that:

> "The respondent acted within its statutory authority under s 47 of the ITA in reissuing the assessments for the tax years 2013 -2017."

The court *a quo* further held that the power to issue subsequent assessments following upon defective ones was confirmed by this Court in the *Zimplats* case*, supra.*

Clearly, the first ground of appeal is unmeritorious and ought to be dismissed.

Whether or not estoppel applied to the concession attributed to the respondent.

[55] The second issue for determination arises explicitly from the second ground of appeal. The third, fourth, fifth and eighth grounds of appeal also revolve upon the second ground.

[56] It is trite that issue estoppel is part of our law. It is based on the public policy principle of finality to litigation. It does not countenance the rearguing of the same questions of fact or law which have already been determined by a competent court between the same parties in the same or subsequent proceedings involving a different cause of action in which the same issue is relevant save in exceptional circumstances. See *Shamrock Holdings* v *Minister of Environment & Tourism & Ors* SC 21/10 at p 8-9.

[57] The submission that the taxman is estopped from denying the contents in its letter of 28 January 2022, that the subject matter therein were defective assessments and not notices of assessment is devoid of merit for three reasons. Firstly, that assertion by the taxman was obviously a mistake. MALABA JA (as he then was), provides the answer to these kinds of mistakes or errors emanating from the Commissioner or his officials in *Commissioner of Taxes* v *Astra Holding, supra,* at p 428. The learned judge of appeal cites with approval the pronouncements of Bingham LJ in *R* v *Board of Inland Revenue ex p. MFK Underwriting Agencies Ltd & Ors* [1990] 1 All ER 91 at 110d-j that:

> "I am, however, of opinion that in assessing the meaning, weight and effect reasonably to be given to statements of the Revenue the factual context, including the position of the Revenue itself, is all important. **Every ordinarily sophisticated taxpayer knows that the Revenue is a tax collecting agency, not a tax-imposing authority. The taxpayer's only legitimate expectation is, *prima facie*, that he will be taxed according to statute, not concession or a wrong view of the law.** … 'One **should be taxed by law, and not be untaxed by concession**' **(Our emphasis)**

In *VFSL* case *supra* at 78A the Court said:

> "The approach to be adopted in revenue matters to questions of estoppel by representation were settled by MALABA JA *in Commissioner of Taxes* v *Astra Holdings (Pvt) Ltd* 2003 (1) ZLR 417 (S) at 427-429D. One of the principles I derive from that case is that the Commissioner is not bound by any conduct or undertaking given by him or his officials in error of law but is bound to act in terms of the law of the land. I said as much in *ST (Pvt) Ltd* v *Commissioner- General, Zimra* 2016 (2) ZLR 133 (FAC) at 144E and *in CF (Pvt) Ltd* v *Zimbabwe Revenue Authority* HH 99/2018 at page 43 of the cyclostyled judgement. The essence of the sentiments of MALABA JA in *Commissioner of Taxes* v *Astra Holding (Pvt) Ltd* 2003

(1) 417 (S) at 47F-429D was that estoppel cannot be raised to prevent or excuse the performance of a statutory duty or discretion, otherwise to do so would be to act against the public interest"

See also *Zimplats, supra* para 37 and *Delta Beverages, supra* at p 25.

Secondly, the appellant was in fact, not misled to act to his peril by the letter of 28 January 2022. This is because, in para 7 and 11 of its founding affidavit it understood that the taxman was referring to notices of assessment. In the circumstances, issue estoppel does not arise.

Thirdly, even if the concession related to assessments, as argued by Mr *Bhebhe* by reference to the *Zimplats* case, *supra*, in paras 37 and 44, the concession would not be binding on the taxman. This is what this Court said in these paras:

> "37. The respondent is a creature of statute and therefore cannot act contrary to the four corners of its enabling Act. Once it is established that the respondent had erroneously issued tax assessments in the wrong currency, it therefore follows that the respondent had to issue assessments that are in compliance with the law.
>
> 44. Furthermore, where an "original" assessment is issued on the basis of incorrect information supplied by the tax payer and this is uncovered, the respondent is at large to adjust it to ensure that it reflects the actual tax due and owing to the fiscus."

[58] The further reason why such a concession would not be binding is that it would fall under the auspices of an illegal agreement, which would offend the *ex turpi causa non oritur actio* principle. See *Commissioner of Taxes* v *Astra Holdings, supra* at 428B and *Zimplats* case*, supra* at para 39.

[59] Mr *Tshuma* sought to rely on the second *Nestle* judgment, which essentially applied the doctrine of issue estoppel to an analogous tax matter. The judgment in question did not make reference to the *Astra Holdings* and *Zimplats* cases, *supra.* It does not appear that the Court in the second *Nestle* case was referred to these two cases. Had this been done,

this Court may have come up with a different decision. In this regard, the remarks of CHATUKUTA JA in *Zesa Holdings (Pvt)* v *Munyanyi & Anor* SC 6/24 at p 10 are apposite,

> "My brother KUDYA AJA did not relate in his judgment to the decision in *Chomurema* v *Tel One* (*supra*). It appears that the authority was not brought to his attention. I opine that had it been brought to his attention, he may have arrived at a different decision."

[60] The further rationale for the inapplicability of the second *Nestle* judgment to the present matter is this. A decision, conduct or process which is void *ab initio* does not exist. It does not therefore stop a party adversely affected by it from commencing such a process afresh. A nullity which arises, like in the present case, from a contravention of statute, would have the same effect as a matter that is struck off. The fact that it is a nullity does not prevent the party adversely affected by it from launching fresh proceedings. In doing so the practical reality is that, such a party would be, colloquially speaking, correcting the void process, even though legally speaking, it is known that a void process cannot be amended, corrected or varied. The point this Court makes is however that the party that issued void proceedings is not estopped by such voidness from issuing fresh process, which complies with the law previously offended by the void proceedings.

The second ground of appeal ought therefore to be dismissed for lack of merit.

[61] Mr *Tshuma* submitted that the invalidity concession would not on its own and without an order of a competent court discharge the void assessments or as found by the court *a quo*, notices of assessment. He argued on the strength of the *Oudekraal* case, *supra*, that they thus remain extant and effectual and have consequences. He criticized the court *a quo* for failing to consider the *Oudekraal* case in its judgment, which had been presented in argument before it. He also submitted the effect of the objection to and appeal against the void but extant defective assessments to the Special Court, was that it gave them an imprimatur of finality. Counsel also submitted that until the Special Court discharged

them, the taxman could not of his own accord alter or withdraw them. Counsel argued that the taxman could not do so because by operation of s 62 (5) and (6) he had fully and finally exhausted his powers in respect of the void assessments and was thus *functus officio*. Mr *Tshuma* crowned his argument by asserting that after all, the tax amounts on the void assessments had, on the tax principle of pay now and argue later, been met.

[62] Mr *Bhebhe* advanced the contrary argument that a void act, by operation of law, is deemed to have never come into being. He also contended, on the authority of *ZIMRA* v *Takawira* SC 34/24 and *Schierhout* v *Minister of Justice* 1926 AD 99 at 109 and *MacFoy* v *United Africa Co. Ltd* [1961] 3 All ER 1169 (PC) at 1172I, that a void act is automatically and incurably bad and does not require an order of court to set it aside. Counsel further argued that, because such an act does not exist, it cannot be final nor can the maker thereof be *functus officio*.

[63] On the question of finality raised in the third ground of appeal, the court *a quo* pithily but aptly observed that:

> "The doctrine of *functus officio* does not apply in respect of void acts."

The court *a quo* immediately quoted from a portion of the classic *McFoy* principle, which has been affirmed in many decisions of this Court, *inter alia*, *Jensen* v *Acavalos* 1993 (1) ZLR 216 (S) at 220B-D.

It is worth reproducing the remarks made in both the *Schierhout* and *McFoy* cases. In the former INNES CJ stated that:

> "It is a fundamental principle of our law that a thing done contrary to the direct prohibition of the law is void and of no effect. **… So that what is done contrary to the provision of the law is not only of no effect but must be regarded as never having been done and that whether the lawgiver has expressly so decreed or not: the mere prohibition operates to nullify the act… and the disregard of peremptory provisions in a statute is fatal to the validity of the proceeding affected.**"

And in the latter case LORD DENNING MR famously said:

> "If an act is void, then it is in law a nullity. It is not only bad but incurably bad. There is no need for an order of the court, to be set aside. It is automatically null and void without more ado, although it is sometimes convenient to have a court declare it to be so. And every proceeding which is founded on it is also bad and incurably bad. You cannot put something on nothing and expect it to stay there. It will collapse."

[64] It is correct that the court *a quo* did not make reference to the *Oudekraal* case. It was sufficient that it cited the *Zimplats* case and the *McFoy* case, which held that it was not necessary for a void act to be set aside by a court of competent jurisdiction. While the principle propounded in the latter case is of general application, the earlier case specifically applied that principle to tax matters. The *Zimplats* case constitutes a veritable and insurmountable antidote to the *Oudekraa*l principle in tax matters. We have already recited what this Court pronounced in the earlier case at para 30 of this judgment. Indeed, in that case, this Court in para 38 affirmed the finding by the Special Court that the void assessments therein were automatically discharged because they were invalid and could not therefore stop the taxman from making fresh additional assessments.

Thus, while the *Oudekraal* principle is worthy consideration in most administrative acts, it does not apply to tax matters. In any event, it was improper for the taxpayer to approbate by demanding a refund of the tax paid on the basis of the concession made and thereafter to reprobate by contending that the void assessments were valid until set aside by a court of competent jurisdiction. It seems to this Court that, having demanded a refund, the taxpayer was estopped from arguing that the void assessments were valid until set aside by a competent court.

[65] The submission by Mr *Tshuma* that the void assessments were final and conclusive act is incorrect. This is so because a void act, being a nothing, cannot be final. It is a no

decision. The legal import is the act is yet to be made. The administrative authority with the power to act, such as the taxman in the present matter, still has the opportunity to make valid additional assessments or notices of assessment in compliance with, in the instance arising from a self-assessment return, s 47 (1) of the Act. Again, as the assessment is yet to be made, the taxman cannot be said to have fully and finally exhausted his powers to make a proper and valid assessment. We therefore agree with Mr *Bhebh*e that the twin principles of finality and *functus officio* did not and do not afflict the present case.

[66] The question of the finality of an assessment is regulated by s 62 (5) and (6) of the Act, cited in para 50 of this judgment. The question of finality related to in the first *Nestle* judgment at p 9 concerned these two subsections. This is what the Court therein said:

> "If the taxman accepts the self-assessment in terms of s 37A of the Act, it becomes his assessment. If he raises queries or adjusts that assessment what he then issues is a final assessment. It cannot be an estimate or subject to an audit. The assessments in issue are therefore invalid on that basis."

The second *Nestle* judgment referenced this finding when it made the following remarks at p 10:

> "The letter in question did not cite the relevant provision under which the replacements were made, apart from merely stating that they were issued in terms of the Act. In any event, this court in SC 148/21 held that an assessment by the Commissioner-General consequent to self-assessment by a taxpayer is final. It follows that after nullification of the assessments in the present case; the appellant had no leg to stand on." (Underlining for emphasis)

[67] In both instances, this Court was relating to valid additional assessments issued subsequent to the assessment in the self-assessment return. A defective or void assessment is not an assessment contemplated by the Act. This resonates with what this court sated in the *Zimplats* case at para 43:

> "Furthermore, there was nothing final and conclusive about the respondent accepting that it had not made an assessment in terms of the law."

[68] In any event, finality applies to a valid assessment to which the taxpayer has not objected or to which the objection has been disallowed or dismissed by the taxman, or the objection has been withdrawn by the taxpayer. It would also apply to an assessment where the taxman has allowed the objection. These assessments are final and conclusive as against the taxpayer and the taxman if the taxpayer does not take the disallowance or extent of the allowance on appeal. Where it is taken on appeal, the assessment becomes final at the conclusion of the appeal in the last court of appeal. Where no appeal is lodged, the assessment becomes final after a period of six years from the date on which the assessment is deemed to have been made by the Commissioner. Where an allowance or disallowance of the objection has been made by the Commissioner, and no appeal is lodged, it also becomes final after 6 years of such disallowance. In one or both or all of these three instances, the prescription period of 6 years is interrupted indefinitely by fraud, misrepresentation or wilful non-disclosure, unravelled by the Commissioner during investigations, which the Commissioner oftentimes refers to as an audit. So the finality of an assessment is dependent on the decision of the final court of appeal in tax matters and the results of any investigation conducted by the taxman into the affairs of the taxpayer within or outside the six-year prescriptive period.

The above principles would not apply to a void assessment. In any event once the taxman conceded that the notices where void, by operation of law, the defective "assessments" lost their efficacy. They could not be regarded as final. Nor could it be said of the taxman that he had fully and finally exercised and exhausted his authority over them. See *Commissioner of Taxes* v *HW Strong & Co (Pvt) Ltd* 1958 (3) SA 26 (SR) at 33E-34B.

[69] Clearly, the third ground of appeal is devoid of merit and ought to be dismissed.

Whether or not the court *a quo* misdirected itself in finding that the appellant impugned the notices of assessment rather than the assessments.

[70] The fourth ground of appeal impugns the factual finding *a quo* that the concession related to notices of assessment and not assessments, contrary to the taxman's email dated 22 January 2022. The fifth and eighth grounds impugn the legal finding by the court *a quo* that an assessment is a mental process while a notice of assessment is a document. In the taxpayer's mind, these findings caused the court *a quo* to incorrectly hold that the taxman could make and issue the same assessment embodied with the impugned fresh notices of assessment.

[71] Mr *Tshuma*, on the one hand, sought to persuade us to adopt the positions taken in the latter *Nestle* case and the South African Court of Appeal case of *African Cash & Carry* at para 33 that an assessment is a document. Mr *Bhebhe,* on the other hand, supported the finding of the court *a quo* that an assessment was a process and not a document. There is a plethora of both foreign and local authorities that have considered both the architectural design and designated content of an assessment and a notice of assessment.

THE AUSTRALIAN AUTHORITIES

[72] The Australian courts, whose tax legislation, at the time the judgments that are referred to below were made, was similar to our own, have consistently held that an assessment is neither the paper nor the notification on which it is found. In *R* v *Deputy FC of T, ex parte Hooper* [1926] HCA 37 CLR 368 the Court stated that:

> "[a]n 'assessment' is not a piece of paper; it is an official act or operation; it is the Commissioner's ascertainment, on consideration of all relevant circumstances, including sometimes his own opinion, of the amount of tax chargeable to a given taxpayer**.** Assessment is neither the paper nor the notification"

In *Batagol* v *Federal Commissioner of Taxes Cath* (1963) 109, the Court concluded that:

> "The word "ascertainment" being understood in this sense, the definition of "assessment" means, in my opinion, the completion of the process by which the

> provisions of the Act relating to liability to tax are given concrete application in a particular case with the consequence that a specified amount of money will become due and payable as the proper tax in that case.''

In the case of *The Commissioner of Taxation of the Commonwealth of Australia* v *Prestige Motors Proprietary Limited* (1994) 181 CLR 1 the court adopted an elaborate definition of an assessment and suggested that it was a calculation of the taxable income and the tax chargeable. It stated that:

> "(I)f the Commissioner, having gone through the process of calculation, serves on the taxpayer a notice that he has assessed the taxable income and the tax at specified amounts, the tax becomes by force of the Act due and payable on the date specified in the notice or (if no date is specified) on the thirtieth day after the service of the notice: s.204. Thus, and thus only, there is brought about an 'ascertainment' of the taxable income and of the tax ... The word 'ascertainment' being understood in this sense, the definition of 'assessment' means, in my opinion, the completion of the process by which the provisions of the Act relating to liability to tax are given concrete application in a particular case with the consequence that a specified amount of money will become due and payable as the proper tax in that case. "Service of the notice on the taxpayer brings the process of assessment to an end in the sense that, in conformity with s.174(1), the notice, which necessarily reflects the requisite elements of the calculation that has been made, is served after the making of that assessment...." (Underlining for emphasis)

See also *Federal Commissioner of Taxation v Prestige Motors (Pty) Ltd* 94 ATC 4570 at 4573.

THE SOUTH AFRICAN CASES

[73] The parties referred to the Appellate Division and Supreme Court of Appeal cases of *Bailey*, *Irvin & Johnson* and *African Cash & Carry, supra*.

In *Bailey*'s case, a unanimous decision of the Court, CURLEWIS JA at 226 referred to s 2 of the Union Act No. 40 of 1925 and stated that:

> "And assessment as defined means the process of determining the amount on which income tax is chargeable, the determination of the "taxable amount" or the loss, as it may be….. It is this determination of the "taxable amount," on which any duty leviable under the act is chargeable, that is meant by assessment as defined."

The learned judge of appeal set out the process of determining the taxable amount commencing with gross income as defined ending with the tax chargeable or the assessed loss ranking for deduction in a particular tax year. He provided the assessment formula as gross income (as defined) minus exemptions = Income (as defined) less allowable deductions = taxable income less abatements = taxable amount to which tax chargeable is calculated using the rates prescribed in a section of the Act. The Court held that this whole process constitutes an assessment.

The South African Act in question also prescribed that the particulars of every such assessment, and amount of tax payable thereon shall be entered in a register of assessments.

See also *CIR* v *Estate Garlick* 1934AD 263.

[74] In *Irvin & Johnson, supra,* the Appellate Division considered the definition of assessment in Act 31/1941. In the majority decision, WATERMEYER CJ said at p 486-7:

> "Now the word "assessment" is defined in the Act as "the determination of an amount upon which any tax leviable under this Act is chargeable" unless the context otherwise indicates. An examination of various sections will show that the word is used in the Act in more senses than one. The word may denote something subjective, i.e., the mental process or act of determining such amount, but it is more usually used to denote something objective, i.e., the visible representation by words and figures of that mental process. Subjectively, an assessment is an abstraction which has no real existence until it is published by being expressed in symbols which convey meaning to others. So long as it is locked up in the mind of the assessing officer, who is not necessarily the Commissioner, it cannot be dealt with as required by the Act. Its particulars cannot be recorded by anyone except the assessing officer, they cannot be filed (see sec. 67 (2); the Commissioner cannot issue the assessment (see s 67 (8), nor can he alter it. It seems clear, therefore, that in most places in the Act the word "assessment" does not mean the unexpressed thoughts of the assessing officer, but the written representation of those thoughts. Again, assessment must result in a figure, it is an "amount" which has to be determined and it is that "amount" or figure which the commissioner may "reduce" or "alter" under s 77 (6). See *CIR* v *Taylor* 1934 AD 387; *CIR* v *Orkin & Anor* 1935 AD 18.)
>
> It is inappropriate to speak about "reducing" a "thought" or reducing a mental process. It is also somewhat difficult to see how the Commissioner can "alter" the mental process of his subordinates who assess; he can, however, alter the

> expressed result of their mental processes, and this must require some formal act. Presumably what is done is that the record of the assessment is altered on the instructions of the Commissioner. He probably does not make any alteration himself but gives instructions that it should be done."

[75] SCHREINER JA did not agree that an assessment, in the context of the same provisions that were considered by WATERMEYER CJ, was a document. He categorically asserted at p. 494-5 that:

> "From the definition in sec. 1 and from the provisions of subsecs (2) and (3) of s 67, it seems that the legislature regarded an assessment as a mental act in the nature of a decision and not a document embodying such a decision. That this is so appears also from the language of s 88. When the Commissioner, or his subordinates acting under s 3 (1), has decided upon an amount upon which tax is chargeable, an assessment comes into existence. Its particulars must be recorded or filed (s 67 (2) and a notice of assessment must be given to the taxpayer (s 67(3). The fact that an assessment is a decision and not a documentary record or notice does not, of course, mean that the Commissioner is not permitted to change his mind as to the amount on which tax is chargeable before the stage referred to in s 77 (7) has been reached."

[76] The case of *African Cash & Carry* was determined in 2019 under the Tax Administration Act No. 28/2011. Assessment is defined as follows:

> "…unless the context otherwise indicates,…"assessment" means the determination of an amount of tax liability or refund by way of self-assessment by the taxpayer or assessment by SARS."

At para 33, KOEN AJA (who wrote the unanimous decision of the Court) by reference to the majority decision in the *Irvin & Johnson* case at p 487 remarked that:

> "It is clear that SARS must fix a liability in a certain amount and communicate it to a taxpayer, for such notification to qualify as an 'assessment'. An assessment cannot mean the unexpressed thoughts of an assessing revenue officer. It requires the written representation of those thoughts."

[77] The symbiotic nature between an assessment and a notice of assessment was expressed by COLMAN J, who considered the notice of assessment to be an assessment in ITC1233 (1974) 37 SATC 179 (T) at 183 -185, in the following terms:

> "Thus, despite the fact that ss 77(3) and (5) of the Act one finds reference to a notice of assessment in contrast to an assessment, there is much to be said for the view that the document is not operative as an assessment until it is posted. There is even something to be said for the view that it is not operative until it reaches the tax payer."

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[78] Until the decision *a quo*, the question whether an assessment was merely a mental process or a document had not arisen. The Special Court in such cases as *MC Ltd* v *Zimra*, *VFSL & Ors* v *ZIMRA,* and *BATH Limited* v *ZIMRA*, *supra*, recognized that an assessment is different from a notice of assessment. The position taken by the Special Court in those cases was that an assessment predated a notice and becomes ripe for objection once it is brought to the attention of the taxpayer by way of a notice of assessment.

[79] In *Barclays Bank Zimbabwe Ltd* v *ZIMRA* 2004 (2) ZLR 148 (H) the Court held at 152D that the document before it (a schedule of tax computations, Annexure A), "cannot be classified as an assessment or notice of assessment". This was because it did not comply with the particulars of an assessment specified in s 2 nor a notice of assessment as it did not satisfy the particulars prescribed in s 51 of the Act. At p 152B the Court related to an assessment as a document in these words:

> "…whether the document sent by the Commissioner to a tax payer is an assessment in view of the taxpayer's right to object within 30 days. …Further, the document cannot be said to constitute an assessment as it falls short of the definition of assessment in terms of s 2 of the Act."

[80] This Court in *Delta Corporation Ltd* v *ZIMRA* SC 62/24 at pp15-16, by reference to the *Barclays* case, confirmed that there was a distinction between an assessment and a notice of assessment. It set out the key statutory requirements that an assessment should determine and contain. These are:

(i) Income and
(ii) Credits that the taxpayer is entitled to.

In respect of a notice of assessment the key requirements are found in s 51 (2) and (3).

These are:

(iii) The appellant's taxable income;
(iv) The credits to which the appellant is entitled to;
(v) Tax payable by the appellant;
(vi) A notice that any objection to the assessment must be lodged within 30 days.

At p 15 this Court stated that:

> "In my view, the interpretation of the above provision entails that an assessment is a process of determining the amount of tax which is chargeable including taxable income and the credits to which the taxpayer is entitled to."

It concluded at p 16 that:

> "It is therefore apparent that the validity of a notice of assessment does not depend on the minute details of the internal wording of the notice. A correct description of a notice and the inclusion in the notice of the key requirements of a notice specified in ss 2 and 51 (2) of the ITA validates the notice. Sections 2, 51 (2) of ITA and s 31 (5) of VATA do not concern themselves with the details, which can be found in a notice other than the specified aspects."

[81] The important derivatives from the *Delta Corporation* case are that:

(a) An assessment was considered to be a process and not the document on which the process was embodied.
(b) An assessment and a notice of assessment are different and their key requirements are also different.
(c) The key statutory requirements cannot be the only items that may be contained in these documents.
(d) A valid assessment and a valid notice of assessment ought to contain these minimum key statutory requirements.

[82] Then came the first *Nestle* case. Like in the *Barclays* case, this Court related to an assessment as a document in five instances. It also referred to the Schedules of Computation therein and pronounced that these would have qualified as assessments were they not contained in one omnibus assessment, instead of being separate and distinct assessments. The words "subject to audit" and "a detailed assessment is available on

request", which were endorsed or inscribed on the assessment, were found to have invalidated the assessment.

The second *Nestle* judgment did not concern itself with the question whether an assessment was a document. It however implicitly suggested at p 10 that it was a document by reference to the documentary nature of a self-assessment return, which is transposed into the Commissioner's assessment by s 37A (11) of the Act.

[83] The court *a quo* simply adopted the position taken by the minority decision of SCHREINER JA in the *Irvin& Johnson* case and held that the fresh additional assessments, unlike the impugned notices of assessments, were not documents. The effect of the finding was that the assessments remained extant and valid and were not affected by the concession, which related to the notices of assessment.

[84] The finding that an assessment is a process and not a document is correct. This position is crystal clear from the definition of an assessment. The *Collins Concise English Dictionary* defines a determination as "the act of making a decision". The act of making a decision is not a document. SCHREINER JA's postulation adopted *a quo* was therefore correct but does not constitute the whole story. The majority decision by WATERMEYER CJ on the nature of an assessment requires close analysis. It accepts that an assessment is a process, which, for practical purposes must however be captured on paper and served on a taxpayer. The majority reasoned that an assessment therefore is transmuted into a document on completion of the calculation and on service to a taxpayer. The majority decision was made at a time when paper was the only medium through which the process could be reduced to written presentation and served. The exponential developments in technology show that the process can be captured on software and served electronically

without the use of paper or documents. It is therefore a monumental misconception to characterize an assessment as a document.

[85] It is interesting to note that the contents of a schedule of computations mirror the information captured by the taxpayer in the self-assessment return. It is also noteworthy, that s 37A (11) and (12) does not identify the whole self-assessment return as the taxman's assessment. Subsection (11) limits the assessment, in keeping with the definition in s 2, to the taxpayer's "taxable income and the tax payable on that taxable income for that year." Subsection (12) limits the assessment to "the taxpayer's return of income." It is therefore not the whole document that is turned into the taxman's assessment, but the figures in respect of the taxpayer's computed income, taxable income and tax payable that appear on the self-assessment return. Mr *Tshuma's* argument that the self-assessment return, being a document, makes the assessment a document is therefore misconceived.

[86] On its own, the language of s 2 of the Act contemplates a process. This initial process does not turn an assessment into a document. However, the practical effect engendered by s 51(1) and (2) requires the projection of the process in a document, which must, as recognized in the *Delta Corporation Case, supra*, contain minimum key requirements specified in s 2. The inscription of the minimum requirements does not preclude the inclusion of other terms, which are necessary in the computation of taxable income or its opposite, assessed loss. This is because, as an assessment or determination is constituted by the formula prescribed in ss 6, 7, 8, 15 and 16 of the Act which is represented by the formula Gross Income *minus* Exemptions = Income *minus* Allowable Deductions (Credits) = Taxable Income *divided by* the appropriate rates of income tax fixed by the charging Act, being the appropriate Finance Act, relating to that year prescribed by s 7 (1) (b) of the Act = Tax amount chargeable/payable. It is, however, these key

requirements which identify the process embodied in the notice of assessment as an assessment. In reality the assessment embodied in the notice of assessment is merely an abridged version of the full assessment, which full assessment, as recognized in both the *Barclays* and first *Nestle* cases, is often captured or more accurately projected or represented by the taxman in a schedule of computations.

[87] It is apparent from the language of s 51(2) and (3) that a notice of assessment is a document. The key requirements of such a document, which identify it as a notice of assessment are set out in this section and in s 72 of the Act. Section 79 prescribes in clear language that the assessment in its abridged form, that is containing the minimum key requirements must be embodied in the notice of assessment. However, the fact that the assessment is projected or carried in notice of assessment does not make it a document. Examples that come to mind pertain to a pregnant woman and a foetus and a horse and a rider. The fact that the mother carries the foetus does not turn her into the foetus nor the foetus into the mother. Similarly, the fact that the horse carries the rider does not make it into the rider nor the rider into a horse.

[88] This Court is therefore satisfied that the finding of the court *a quo*, which runs contrary to the prevailing wisdom in South Africa, that an assessment is a process and not a document is correct and unimpeachable.

[89] The effect of the finding *a quo* was that the assessments, that is, the figures for the taxable income, credits or assessed losses were unaffected by the void notices concessions. Instead, the invalidity pertained to the endorsements that were inscribed on the notices. In the final analysis, as Mr *Bhebhe* correctly submitted, whether it was the assessments or the notices that were void, the taxman was not precluded from raising fresh assessments or fresh notices that were compliant with the requirements of the Act. In

other words, the taxman was, in the words posited in the *Zimplats* case at para 50, "not only automatically allowed, but obliged" to protect the fiscus by ensuring that the taxpayer paid its fair level of taxes in accordance with the provisions of s 47 (1) of the Act.

WHETHER OR NOT THE COURT *A QUO* FAILED TO ABIDE BY THE *STARE DECISIS* PRINCIPLE.

[90] Mr *Tshuma* submitted that the court *a quo* failed to adhere to the binding precedent arising from the two *Nestle* judgments. He argued that as these were decisions of a superior court, the court *a quo* ought to have religiously abided by them. Mr *Bhebhe* made the contrary argument that the court *a quo*, having correctly distinguished the second *Nestle* judgment from the present matter, was not bound to follow its *ratio decidendi*. The court distinguished the second *Nestle* case on two bases. The first was that first *Nestle* judgment voided the additional assessments issued by the taxman and not the notices of assessment. The second was that issue estoppel, upon which the second *Nestle* judgment was decided did not arise in the present matter.

[91] The court *a quo* was correct in holding that the first *Nestle* judgment found that the assessments and not the notices of assessments were void. The *ratio decidendi* in that case is found at p 10 where the Court held that:

> "In view of the above the assessments are null and void as they were issued contrary to the requirements of the Act. They were a nullity and cannot create any obligation to pay tax. What this means is that there were no proper assessments for the court a *quo* to relate to. Consequently, there is no proper appeal before this court."

Regarding the second *Nestle* case, the Court held that the principle of issue estoppel barred the taxman from issuing the same assessments, which were invalidated in the first *Nestle* judgment. Further that it lacked the jurisdiction to review its own decision in that first case.

[92] While the first basis for distinguishing the first *Nestle* case and the present matter was at best tenuous for the reasons adverted to in para [89] of this judgment, the second is weighty. Issue estoppel would not arise not only on the basis alluded to by the court *a quo*, but on the greater reason that issue estoppel did not arise in tax matters. Neither a void assessment nor notice thereof could bar the taxman from carrying out his statutory duty to collect the correct tax. The only thing that the taxpayer could do once the fresh additional assessment was compliant with the relevant provisions of the tax Act, if so advised, was to object and if dissatisfied with the result, appeal to the Special Court on the substance of the assessment.

In the circumstances the eighth and ninth grounds of appeal are devoid of merit and ought to be dismissed.

[93] The Court is satisfied that all the grounds of appeal are unmeritorious and must accordingly be dismissed.

COSTS

[94] There is no reason why costs should not follow the result.

DISPOSITION

[95] The inescapable conclusion derived from a proper reading of the relevant provisions adverted to in para [39] of this judgment is that an assessment is the determination or ascertainment or calculation or computation of taxable income or its antonym, the assessed loss. Interestingly, while the majority of the sections in the Act denote an assessment is "made", a few sections such as ss 46 (7), 48 (1) and 49 state that an assessment is "issued". It is an undeniable fact that although an assessment is a determination, it is carried or depicted or evidenced or projected or reflected in a notice

of assessment. Otherwise, were it not so, the taxpayer would be unable to object to the assessment, as prescribed by s 62 (4) of the Act, on receipt of the notice. The general prevailing practice of the taxman, which is reflected in s 79 of the Act, has been to embody an assessment in the notice of assessment. SHREINER JA was thus correct to hold that a determination as defined was not a document. However, WATERMEYER CJ was also correct that, viewed in the practical context, an assessment could only be availed to the taxpayer in the form of a document. It would have been impracticable at the time to project it by any other means other than by a document from the mind of the taxman to the presence of the taxpayer. However, the Learned Chief Justice, with respect, may have been wrong to hold that this turned the process into a document.

[96**]** It seems to this Court that the practice that has developed a life of its own of impugning assessments as documents which must contain particular words is based on a misapprehension of the definition of an assessment as set out in s 2 of the Act.

[97] More importantly however, the effect of a declaration of nullity in our law does not non-suit the party against whom the declaration is made. If so advised, such a party may return to court with fresh process after "correcting or curing" the initial cause of the invalidity. This is what the taxman did in the present case. It is remiss of the appellant to seek to deny him his common law and statutory right to do so.

[98] Accordingly, it is ordered that:

"The appeal be and is hereby dismissed with costs."

MATHONSI JA : I agree

MUSAKWA JA : I agree

Gill, Godlonton & Gerrans, appellant's legal practitioners.

Kantor & Immerman, respondent's legal practitioners.